FORTUNE INSTITUTE OF INTERNATION BUSINESS

FINANCIAL RISK MANAGEMENT

CREDIT AND FINANCIAL ANALYSIS REPORT ON

“ICICI BANK”

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Executive Summary

This report presents a financial and credit analysis of ICICI Bank across five key aspects that are profitability, liquidity, capital structure, debt service/credit risk (asset quality), and an overall recommendation using data for FY2024, FY2025 and FY2026. For every indicator, the year-on-year movement is classified as an Increase, Decrease or Stable position, and interpreted in terms of whether that movement strengthens or weakens the bank's financial position.

Overall, ICICI Bank's credit position is assessed as **STRONG / FAVOURABLE** as profitability and asset quality continue to improve, capital buffers remain well above RBI's regulatory requirements, and liquidity coverage stays comfortably above 100%. The principal watch-items are a moderating net interest margin (NIM) and return on equity (ROE), advances growing faster than deposits, and a provision coverage ratio (PCR) that has eased from its FY2024 level.

1. Profitability

ICICI Bank | Earnings trend | ₹ crore unless stated

Metric	FY2024	FY2025	FY2026	FY26 Trend
Net Interest Income	74,306	81,165	88,075	Increase
Operating Profit	58,122	67,299	70,401	Increase
Profit Before Tax	60,434	62,616	66,219	Increase
Profit After Tax	40,888	47,227	50,147	Increase
NIM	4.53%	4.32%	4.32%	Stable
ROE	18.7%	18.0%	16.0%	Decrease

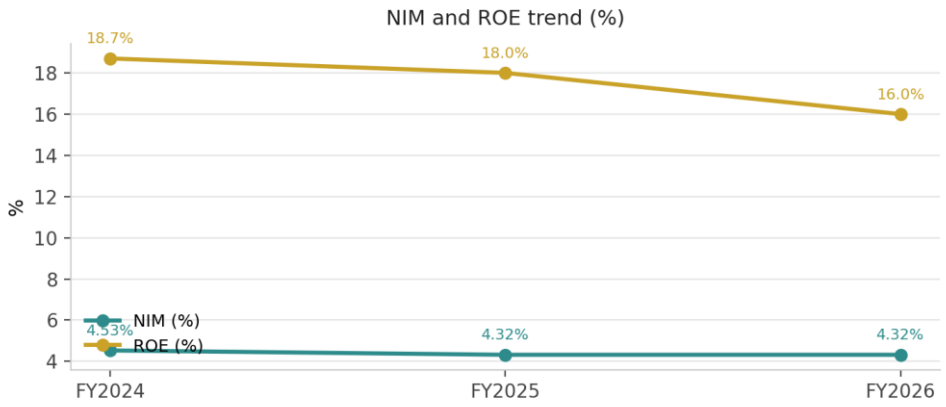


Fig 1.2 — NIM and ROE trend, FY2024–FY2026

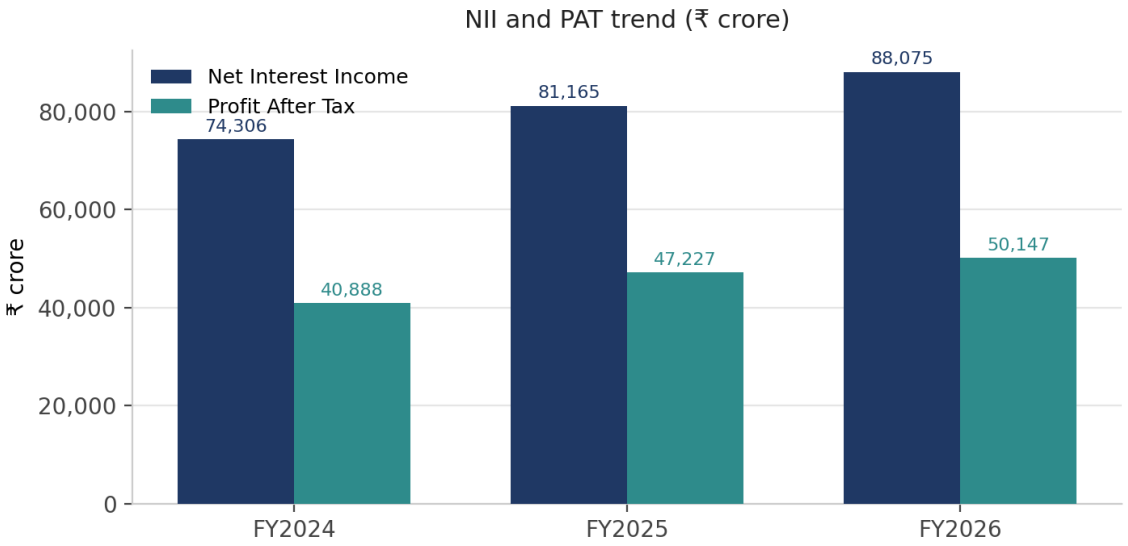


Fig 1.1 — Net Interest Income and Profit After Tax, FY2024–FY2026

KEY INTERPRETATIONS:

- **NII** increased consistently from ₹74,306 crore in FY2024 to ₹81,165 crore in FY2025 that is 8.52% increase and further to ₹88,075 crore in FY2026 that is 9.23% increase. Overall, NII increased by approximately 18.5% between FY2024 and FY2026. This indicates that ICICI Bank's core interest-generating business continued to expand. This also reflects steady growth in the core lending/interest-earning business.
- **Operating profit** increased significantly from ₹58,122 crore to ₹67,299 crore in FY2025(15% increase) and further to ₹70,401 crore in FY2026 (4.61% increase). The overall increase from FY2024 to FY2026 was approximately 21.1%. ICICI's core operations remain profitable and capable of generating higher operating earnings. However, the lower growth rate in FY2026 indicates that the bank should continue focusing on cost efficiency and sustainable revenue growth.
- **PBT** increased from ₹60,434 crore to ₹66,219 crore, representing approximately 9.6% growth over two years. However, PBT growth was substantially lower than operating-profit growth. This indicates that items below operating profit absorbed part of the improvement in operating earnings.
- **PAT** increased consistently throughout the period between FY2024 and FY2026 that is approximately 22.6%. and in FY2026 increased by 6.18%. The increase in PAT indicates that ICICI Bank is generating stronger bottom-line earnings. Higher retained earnings can strengthen the bank's ability to generate capital internally and provide an additional cushion against unexpected losses.
- **NIM** declined from 4.53% to 4.32% between FY2024 and FY2025 and then remained stable at 4.32% in FY2026. This tells us that ICICI is earning a slightly lower net interest margin on its interest-earning assets than it did in FY2024. However, NII continued to increase because the bank's overall business/earning-asset base expanded. It means the bank is earning a slightly smaller margin but applying that margin to a larger business base.
- **ROE** declined from 18.7% to 16.0%, a total decline of 2.7 percentage points. This indicates that the return generated on shareholders' equity has moderated. One possible factor is the strengthening of the bank's capital base. If equity grows faster than profits, ROE can decline even when absolute profit increases. Therefore, the lower ROE should not automatically be interpreted as deterioration in the bank's financial health. From a shareholder perspective, lower ROE is a concern. However, from a creditor perspective, stronger capitalization can be positive because it provides a larger loss-absorbing cushion.

Earnings grew consistently in absolute terms (NII, PAT, PBT all up), but NIM and ROE moderated versus FY2024 profitability is expanding on scale even as returns per unit of assets/equity ease slightly.

2. Liquidity

ICICI Bank | Funding mix & regulatory liquidity

Indicator	FY2024	FY2025	FY2026	FY26 Trend
CASA Ratio	40.4%	39.0%	38.9%	Stable
LCR	122.84%	126.11%	125.64%	Stable
Total Deposits (₹ cr)	14,12,825	16,10,348	17,94,625	Increase
Total Advances (₹ cr)	11,84,406	13,41,766	15,53,893	Increase

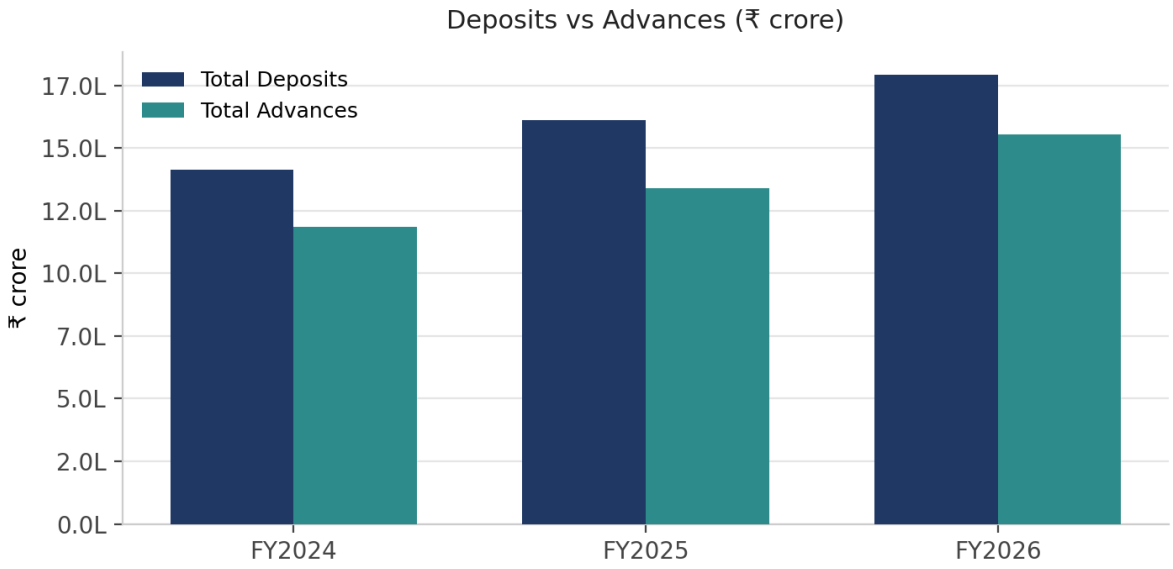


Fig 2.1 — Deposits vs Advances, FY2024–FY2026

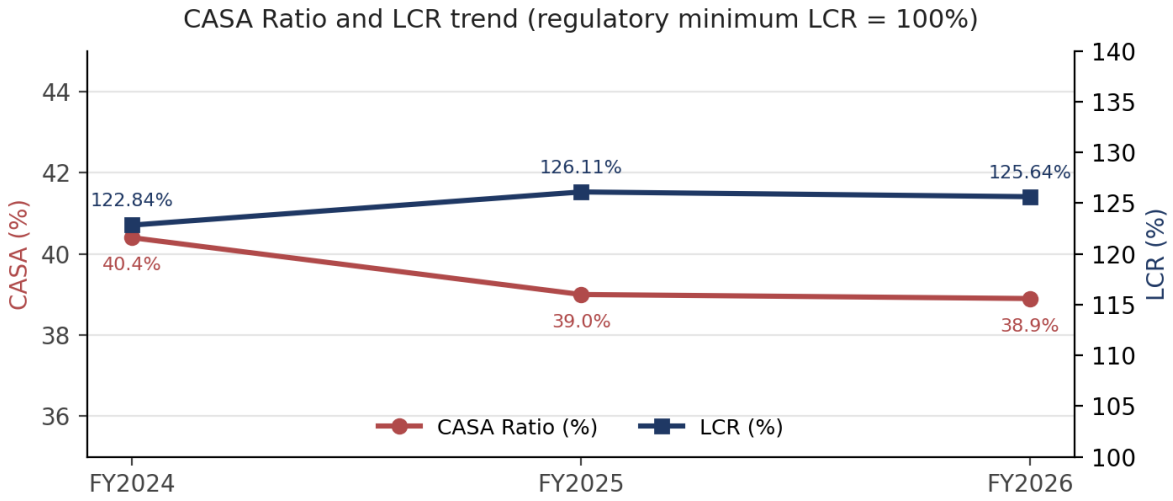


Fig 2.2 — CASA Ratio and LCR trend (regulatory LCR minimum = 100%)

KEY INTERPRETATIONS:

- **CASA** declined from 40.4% to 38.9%. This is a gradual deterioration in the deposit mix. A higher CASA ratio is generally favourable because current and savings deposits tend to provide a relatively stable funding base. Therefore, the decline suggests that the bank should continue to focus on mobilising low-cost deposits.
- **LCR** increased from 122.84% to 126.11% and then remained high at 125.64%. Therefore, LCR has remained consistently above 120%. The Liquidity Coverage Ratio (LCR) is a regulatory requirement under Basel III rules that forces banks to hold enough safe, easily sold assets to survive a 30-day severe. This indicates that ICICI maintains a substantial liquidity buffer which will help them to sustain immediate financial crisis that might persist for 30 day in short term.
- **Deposits** increased strongly throughout the period. From FY2024 to FY2026, the deposit base increased by approximately 27%. This indicates a strong deposit franchise and provides a significant funding base for the bank.
- **Advances** increased strongly and grew by 15.81% in FY2026, faster than deposits, which grew by 11.44%. The difference is approximately 4.37 percentage points. This tells us that loan demand and credit expansion are strong. However, if advances continue to grow faster than deposits, the bank could increasingly rely on alternative funding sources.

LCR stays well above 100%, and the bank maintains a large, growing deposit franchise. The key watch-item is that advances are growing faster than deposits, which if sustained could tighten the funding cushion over time.

3. Capital Structure

ICICI Bank | Capital adequacy & leverage | FY2024–FY2026

Indicator	FY2024	FY2025	FY2026	FY26 Trend
Debt / Equity	0.21x	0.21x	0.19x	Decrease
Total CAR	16.33%	16.55%	17.18%	Increase
CET-1	15.60%	15.94%	16.35%	Increase

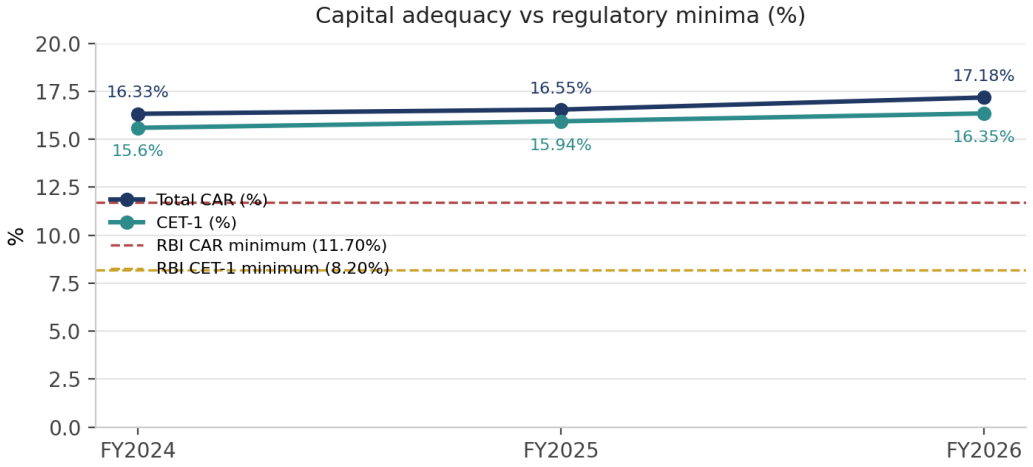


Fig 3.1 — Total CAR and CET-1 vs RBI regulatory minima, FY2024–FY2026

KEY INTERPRETATIONS:

- **D/E** remained stable at 0.21x in FY2024 and FY2025 before declining to 0.19x in FY2026. This represents approximately a 9.5% reduction from FY2024. The lower ratio indicates a reduction in reported leverage relative to equity. For credit analysis, lower leverage generally means a stronger equity cushion relative to debt.
- **CAR** increased consistently from 16.33% to 17.18%. The total increase was 0.85 percentage points. This indicates that the bank's capital buffer strengthened rather than weakened as its balance sheet expanded. In FY2026, the bank's CAR of 17.18% was approximately 5.48 percentage points above the 11.70% regulatory minimum.
- **CET-1** increased by 0.75 percentage points over the two-year period. Common Equity Tier 1 (CET1) is a bank's highest-quality core capital, consisting of ordinary shares and retained earnings, designed to absorb losses immediately during a financial crisis. The increase indicates that ICICI has strengthened its ability to absorb unexpected losses. The FY2026 buffer over the stated CET-1 regulatory minimum is approximately 8.15 percentage points.

Capital buffers improved across the period and remained well above RBI floors. In FY2026, CAR of 17.18% was 5.48 percentage points above the regulatory minimum, and CET-1 of 16.35% was 8.15 percentage points above its minimum which indicating strong loss-absorption capacity and low leverage.

4. Debt Service / Credit Risk

ICICI Bank | Asset quality & credit-servicing capacity

Indicator	FY2024	FY2025	FY2026	FY26 Trend
Gross NPA	2.16%	1.67%	1.44%	Decrease
Net NPA	0.44%	0.39%	0.35%	Decrease
Provision Coverage Ratio	80.3%	76.2%	75.8%	Decrease

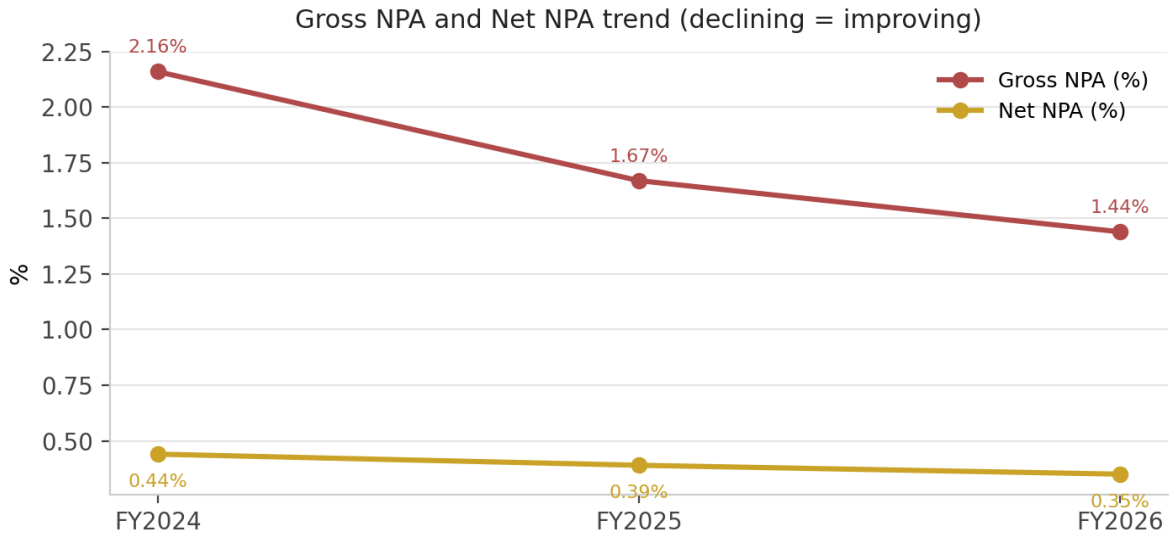


Fig 4.1 — Gross NPA and Net NPA trend, FY2024–FY2026 (a decline indicates improving asset quality)

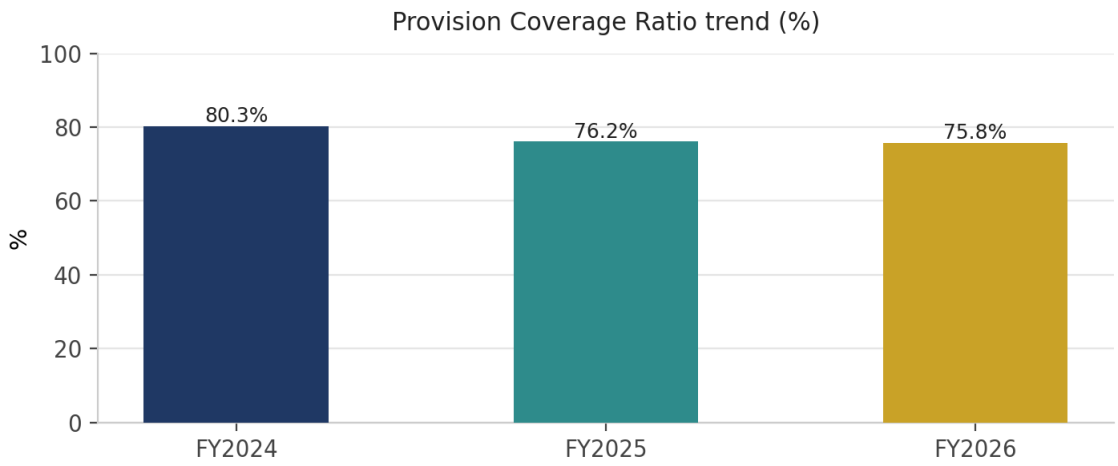


Fig 4.2 — Provision Coverage Ratio trend, FY2024–FY2026

KEY INTERPRETATIONS:

- **GNPA** declined consistently from **2.16% to 1.44%**. This is a reduction of **0.72 percentage points**, or approximately **33% relative to FY2024**. This is a major positive indicator. It means that the proportion of the loan portfolio classified as non-performing has decreased.
- **NNPA** declined from 0.44% to 0.35%. The total decline was 0.09 percentage points, approximately 20% relative to FY2024. This suggests that the residual credit risk after provisioning has reduced.
- **PCR** declined from **80.3% to 75.8%**. Unlike the NPA ratios, this is a **negative trend**. A lower PCR means the proportion of NPAs covered by provisions has declined. However, the ratio remains above 75%, so the bank still maintains a substantial provisioning buffer according to the figures presented. Asset quality is improving, but the declining provision coverage ratio should be monitored

NPA ratios (both gross and net) declined consistently across the period and PCR remains above 75%, indicating sound and improving credit risk management, with provisioning levels worth watching if the pace of advances growth continues

5. Final Recommendation

ICICI Bank | Overall financial and credit position

Parameter	FY2024	FY2025	FY2026	Assessment
Asset Quality	GNPA 2.16%	GNPA 1.67%	GNPA 1.44%	STRONG / IMPROVING
Profitability	PAT ₹40,888 cr	PAT ₹47,227 cr	PAT ₹50,147 cr	STRONG
Liquidity	LCR 122.84%	LCR 126.11%	LCR 125.64%	COMFORTABLE
Capital	CRAR 16.33%	CRAR 16.55%	CRAR 17.18%	VERY STRONG
Leverage	D/E 0.21x	D/E 0.21x	D/E 0.19x	COMFORTABLE

Overall Credit View

ICICI Bank has a strong overall financial and credit position, supported by growing earnings, robust capital buffers, comfortable liquidity, and improving asset quality. Key monitoring areas going forward are net interest margins, the pace of deposit mobilization relative to advances growth, and sustaining provision coverage.

OVERALL: STRONG COMPANY

Key strengths

- Consistent PAT growth across FY2024–FY2026
- LCR consistently above 100%, indicating comfortable short-term liquidity
- CAR and CET-1 well above RBI's regulatory minima, with buffers widening
- Gross and Net NPA declining steadily, reflecting improving asset quality

Watch-items

- NIM below its FY2024 level, despite stabilising in FY2026
- Advances growing faster than deposits in FY2026 (15.81% vs 11.44%)
- ROE moderation from 18.7% to 16.0%
- Provision Coverage Ratio should not decline further from its current ~76% level

Final lending recommendation

"As a lender, I would recommend lending to ICICI Bank, subject to normal credit monitoring. The recommendation is supported by strong capital adequacy, comfortable liquidity, sustained profitability, improving asset quality and lower reported leverage. However, I would monitor NIM compression, the decline in ROE, the faster growth of advances relative to deposits, and provision coverage. Overall, the bank's financial resilience and loss-absorbing capacity outweigh these risks, giving me a favourable lending view."